

Business Case — 48 Lot Land Subdivision

181 Torrens Road, 85 River Drive & 3-7 Dorset Drive, Caboolture South, QLD 4510

Original report prepared 14 May 2026 by Scott Purcell. **Updated 11 June 2026** to reflect the finalised Development Application package and the Draft Loan Agreement.

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What changed in this revision. This version updates the 14 May 2026 business case for the development information finalised in late May/early June 2026: the Town Planning Report (Steffan Harries, Final, 3 June 2026), the Concept Civil Engineering, Stormwater and Flood reports (Bravo Consult, 1 June 2026), the Traffic/Structure Planning advice (Modus), DA Form 1, and the Draft Loan Agreement. The feasibility totals (cost, revenue, profit, ROI) are carried forward unchanged pending a refreshed feasibility — see *Funding & Financing* and the accompanying **Review Notes** for items that should be reconciled before the document is issued to investors.

Property details

	181 Torrens Road	85 River Drive	3-7 Dorset Drive
Local Authority	Moreton Bay City Council	Moreton Bay City Council	Moreton Bay City Council
Land area	13,380 m ²	6,710 m ²	3,243 m ²
Description	L18 RP863675	L91 RP826466	L69 RP848695
Tenure	Freehold	Freehold	Freehold
Zoning	General Residential – Next Generation Neighbourhood	as left	as left

Combined site area: 23,333 m².

Executive Summary

Pembroke Construction and associated entities are seeking investment to deliver a **48-lot residential land subdivision** at Caboolture South, Queensland. The project consolidates three adjoining freehold parcels (181 Torrens Road, 85 River Drive and 3-7 Dorset Drive) within Moreton

Bay City Council's **Next Generation Neighbourhood Precinct** — a designated infill growth area approximately 50 kilometres north of Brisbane CBD. All three sites are under contract, with settlements scheduled between May 2026 and March 2027.

A constructive **Prelodgement Meeting** was held with Council on 28 January 2026 (Council reference **DA/2026/0091**). Following that meeting and subsequent traffic engineering, the proposal was redesigned to consolidate the third parcel (3-7 Dorset Drive) and to take access from Dorset Drive. The **Development Application** has now been finalised for lodgement as a **Code Assessable Reconfiguring a Lot (3 into 48 lots on a Community Titles Scheme), including a private road and access easement**, supported by a full suite of technical reports (planning, civil, stormwater, flood, traffic and landscape).

Key investment metrics

Metric	Value
Total saleable lots	48
Combined land area / net developable area	23,333 m² / 20,149 m² (2.01 ha)
Net residential density	23.8 lots/ha (within the 10–25 lot/ha precinct range)
Total development cost (incl. acquisition)	\$17,852,937
Gross realised value — forecast pricing	\$24,395,390
Projected profit (forecast)	\$5,510,969
Return on investment (forecast)	31.81%
Return on investment (conservative, –5%)	25.65%
Forecast duration (DA submission to sales completion)	~24 months (May 2026 – May 2028)

The cost, revenue, profit and ROI figures above are carried forward from the 14 May 2026 feasibility. They should be **reconciled against the now-known financing terms** (a \$1.4m facility at 20% p.a. pre-DA / 15% p.a. post-DA) and the **House & Land Package sales structure** before issue — see *Funding & Financing* and *Sales Guidance*.

The investment proposition rests on:

- 1. a strategically located infill site within an established Council growth precinct;
- 2. an advanced planning position — a full DA package lodged off the back of early Council engagement, with the access issue resolved through acquisition of the third parcel;
- 3. vertically integrated civil delivery through Pembroke Construction's in-house capability; and
- 4. a margin that, on the current feasibility, is retained under a conservative pricing scenario.

The proposal does rely on **performance-based planning arguments** for two matters (narrow-lot concentration and the omission of the indicative Figure 6 road link) and is exposed to **Council's pending updated flood modelling**; both are addressed in *Site Overlays* and *Risk Analysis*.

Introduction

This business case presents the investment opportunity for a 48-lot residential land subdivision spanning three adjoining parcels at 181 Torrens Road, 85 River Drive and 3-7 Dorset Drive, Caboolture South, Queensland. It sets out the project rationale, projected returns, development timeline, financing structure and the risk framework applied to test the project's resilience.

Cost estimates incorporate all material expenditure categories — land acquisition and stamp duty, holding and financing costs, consultant and statutory approval fees, civil and electrical construction, plan sealing, and sales and marketing — based on the consolidated feasibility study.

The analysis is supported by the finalised Development Application package, comprising the Town Planning Report and Appendices A–I, DA Form 1 and Land Owners' Consent (listed at the end of this document).

Deal Overview

The project consolidates three adjoining freehold sites totalling 23,333 m² under a single **Community Titles Scheme (CTS)** to deliver 48 residential allotments within the Next Generation Neighbourhood Precinct. All three parcels are under contract, with settlements scheduled between May 2026 and March 2027.

The Development Application has been finalised for lodgement (Code Assessable Reconfiguring a Lot, 3 into 48 lots on a CTS, including a private road and access easement), informed by the Prelodgement Meeting held with Council on 28 January 2026 (DA/2026/0091).

Total development cost, inclusive of acquisition and all soft and hard costs, is forecast at **~\$17.9m**. Gross realised value under forecast pricing is **~\$24.4m**, producing a projected profit of **\$5.5m** (net of GST) and a return on investment of **31.81%**. Under a conservative pricing scenario, the project retains an ROI in excess of 25%.

Key features of the opportunity:

- A concept plan aligned with Council's structure-plan intent, validated through the Prelodgement process and a subsequent structure-planning / traffic exercise.
 - **Access resolved via Dorset Drive.** Council does not support direct access onto Torrens Road or River Drive (now signalised). A new private road connects to Dorset Drive — the option independently preferred by the traffic engineers.
 - A lawful point of discharge for stormwater, via the existing Council drainage easement supplemented by **four engineered on-site detention (OSD) tanks** draining to the creek.
 - A trunk sewer connection located on site within 3-7 Dorset Drive.
 - In-house civil construction delivery by Pembroke Construction.
 - Established town-planning representation (Steffan Harries) with extensive Moreton Bay City Council experience.
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Cost of Development

Item	Detail	Amount
Cost to Buy Land	Land price, stamp duty, conveyancing etc.	\$7,638,318
Holding Costs	Borrowing costs, rates	\$2,459,951
Development Approval	RAL fee, reports, ecologist, surveyors, civil engineers	\$149,235
Operational Works Approval	Reconfigure lot, operational works, Council fees	\$1,675,638
Compliance & Inspection / QUU Fees	Access easement, all lots, surveys & designs	\$399,539
Electrical	Design and construction	\$369,600
Construction Costs	Civil	\$4,224,880
Plan Sealing	Surveys, title deeds, pegging	\$140,554
Sale Costs	Agents, conveyancing	\$795,222
Total Costs (inc. GST) per Feasibility Study		\$17,852,937

Notes on the updated DA cost inputs:

- The **DA lodgement fee is \$33,443** — base \$2,928 + **access easement \$2,915** + \$575 × 48 lots. The access-easement component is new since the original business case and reflects the Dorset Drive access solution. This sits within the *Development Approval* allowance above.
- Council's infrastructure charge is **\$36,670.70 per additional lot** (split between Council and Unitywater), i.e. of the order of \$1.7m across the net additional lots — captured within the *Operational Works Approval / Council fees* allowance. Confirm against the final feasibility.
- The *Holding Costs* line should be reconciled against the now-known debt structure (see *Funding & Financing*).

Funding & Financing

A **Draft Loan Agreement** has been prepared for a facility of **AUD \$1,400,000**, on the following key terms:

Term	Detail
Loan amount	\$1,400,000
Interest — pre-DA	20% p.a. (Advance Date to DA Date)
Interest — post-DA	15% p.a. (DA Date to repayment)
Default rate	24% p.a. (to be confirmed)
Security	Third registered mortgage over 25 Granville St, West End (S. Purcell); second registered mortgage over 85 River Drive (Brightfall Pty Ltd ATF Brightfall Trust), behind an existing first mortgage

Term	Detail
Repayment	On or before the Repayment Date (aligned to projected sales completion plus buffer); sale-proceeds sweep on each lot settlement
Purpose	Acquisition, holding and development costs of the project

The agreement also grants the **lender (a licensed builder), together with B.E Property, the first and exclusive right to market and sell all 48 lots as House & Land Packages** (see *Sales Guidance*).

Points for investors to note:

- \$1.4m is **part** of the capital stack only; the project's total non-land funding requirement is materially larger and is assumed to be met by senior debt and/or equity. The headline *Holding Costs* of \$2.46m should be read against the full debt structure and the above interest rates.
- The **20% pre-DA rate** accrues until the DA decision takes effect, creating a strong incentive — and a financial imperative — to obtain the DA quickly. Any DA delay is more costly than a generic interest buffer implies.
- Security includes a **third mortgage over a director's residence** and a **second mortgage over River Drive** behind an undisclosed first mortgage — a sponsor-level exposure disclosed here for completeness.

Proposed Project Timeline

Activity	Estimated Start	Estimated Finish
Development Approval	May 2026	December 2026
Operational Works Approval	January 2027	March 2027
Civil Construction	March 2027	December 2027
Sales Period	January 2027	May 2028

Timing flag: 3-7 Dorset Drive — the parcel providing the estate's sole approved access — settles **31 March 2027**, coinciding with the planned civil-construction start. Control of the Dorset Drive frontage is a precondition to building the access road; confirm the construction sequence and any early-access rights under the Dorset contract.

Key Dates

	85 River Drive	181 Torrens Road	3-7 Dorset Drive
Contract Date	16 Jan 2026	23 Dec 2025	31 Mar 2026
Due Diligence Expiry	2 Apr 2026	7 Apr 2026	4 Jun 2026
Contract Unconditional	2 Apr 2026	9 Apr 2026	4 Jun 2026
Settlement	16 Jun 2026	25 May 2026	31 Mar 2027

Sales Guidance

Forecast sale prices were prepared by **B.E Property**, the project's appointed residential land sales agency, calibrated to comparable transactions in the Caboolture corridor as at March 2026 and reflecting individual lot size, frontage, aspect and position within the estate. A conservative column applies a uniform 5% reduction to stress-test against market softening.

Important disclosure — sales structure. Under the Draft Loan Agreement, B.E Property is the financier's nominated sales partner and, together with the **builder-lender**, holds the **first and exclusive right to sell all 48 lots as House & Land Packages**. Each sale comprises (a) a land contract between the registered owner and the buyer at a B.E Property-determined market price (subject to the borrower's price approval, with a recommended pricing floor at the conservative column), and (b) a separate building contract between the lender and the buyer, with the **builder margin on the dwelling accruing to the lender, not to this project**. Pricing should therefore be understood as prepared by the project's appointed (related-party) sales channel rather than by an arm's-length independent valuer. The borrower retains a step-back right to convert the sales rights to non-exclusive if sales do not progress satisfactorily at plan sealing.

Lot pricing schedule

Lot	Size (m ²)	\$/m ²	Forecast (inc GST)	Conservative (inc GST)
1	300	1,644	\$493,200	\$468,540
2	311	1,650	\$513,150	\$487,493
3	378	1,468	\$554,904	\$527,159
4	321	1,596	\$512,316	\$486,700
5	268	1,793	\$480,524	\$456,498
6	256	1,822	\$466,432	\$443,110
7	278	1,729	\$480,662	\$456,629
8	250	1,836	\$459,000	\$436,050
9	253	1,822	\$460,966	\$437,918
10	341	1,472	\$501,952	\$476,854
11	462	1,134	\$523,908	\$497,713
12	242	1,798	\$435,116	\$413,360
13	246	1,780	\$437,880	\$415,986
14	465	1,250	\$581,250	\$552,188
15	309	1,644	\$507,996	\$482,596
16	246	1,822	\$448,212	\$425,801
17	244	1,822	\$444,568	\$422,340
18	247	1,822	\$450,034	\$427,532

Lot	Size (m²)	\$/m²	Forecast (inc GST)	Conservative (inc GST)
19	257	1,809	\$464,913	\$441,667
20	254	1,809	\$459,486	\$436,512
21	270	1,729	\$466,830	\$443,489
22	420	1,323	\$555,660	\$527,877
23	532	1,150	\$611,800	\$581,210
24	311	1,617	\$502,887	\$477,743
25	311	1,617	\$502,887	\$477,743
26	296	1,666	\$493,136	\$468,479
27	335	1,585	\$530,975	\$504,426
28	296	1,666	\$493,136	\$468,479
29	296	1,666	\$493,136	\$468,479
30	344	1,564	\$538,016	\$511,115
31	339	1,472	\$499,008	\$474,058
32	367	1,408	\$516,736	\$490,899
33	469	1,250	\$586,250	\$556,938
34	390	1,425	\$555,750	\$527,963
35	390	1,425	\$555,750	\$527,963
36	381	1,331	\$507,111	\$481,755
37	303	1,683	\$509,949	\$484,452
38	300	1,693	\$507,900	\$482,505
39	300	1,693	\$507,900	\$482,505
40	350	1,560	\$546,000	\$518,700
41	300	1,693	\$507,900	\$482,505
42	300	1,687	\$506,100	\$480,795
43	351	1,556	\$546,156	\$518,848
44	252	1,829	\$460,908	\$437,863
45	390	1,331	\$519,090	\$493,136
46	398	1,400	\$557,200	\$529,340
47	447	1,250	\$558,750	\$530,813
48	485	1,200	\$582,000	\$552,900
GRV			\$24,395,390	\$23,175,621

Projected Revenue and Profit

Forecast pricing

Values	Amount
Projected Revenue	\$24,395,390
Profit	\$5,510,969
ROI	31.81%

Conservative pricing (–5%)

Values	Amount
Projected Revenue	\$23,175,621
Profit	\$4,435,356
ROI	25.65%

Sensitivity Analysis

Scenario	Projected Profit	ROI on Cost
Base case (forecast pricing)	\$5,510,969	31.81%
Sales prices –5% (conservative)	\$4,435,356	25.65%
Sales prices –10%	\$3,293,207	19.01%
Construction cost +10%	\$5,126,969	28.95%
Holding period +6 months	\$4,895,981	27.29%
Combined downside (–5% sales & +10% construction)	\$4,018,088	22.69%
Combined downside – severe (–10% sales & +10% construction)	\$2,909,207	16.43%

Stress-case figures are indicative, derived by adjusting the relevant inputs to the feasibility study.

Summary. The project maintains a positive return across all scenarios modelled, including a severe combined downside (–10% sales and +10% construction), under which it retains a profit of \$2,909,207 and an ROI of 16.43%. The base-case ROI of 31.81% provides headroom to absorb adverse conditions. Note, however, that the **holding-period sensitivity assumes the financing terms now set out in *Funding & Financing***; at a 20% pre-DA rate, schedule slippage before the DA decision is a particularly sensitive driver and should be modelled explicitly in the refreshed feasibility.

Concept Plan

The concept plan delivers 48 residential allotments as a Community Titles Scheme, accessed via a **new private road connecting to Dorset Drive** (Modus "Option 3" — the preferred traffic outcome). Engineering documents describe a **10.5m wide road connection with a 6.5m carriageway** capable of two-way movement and 12.5m Heavy Rigid Vehicle (waste) servicing, with footpath and landscaping within the common property. *(Confirm the final internal road cross-section against prelodgement item 37, which sought a minimum 10m internal road.)*

The layout wholly avoids the central portion of the site affected by flooding and overland flow, concentrating developable land outside the constrained area. The existing Council drainage easement (constructed as part of the Torrens Road intersection upgrade) provides a lawful point of discharge, supplemented by four engineered OSD tanks. The plan is consistent with the structure-planning intent discussed at the Prelodgement Meeting (28 January 2026) and refined through subsequent traffic engineering.

Car parking. Council requires visitor parking at 0.5 spaces/lot (24 spaces); the plan allocates 26 spaces, exceeding the requirement.

Density. Land constrained by the drainage easement and the high/medium flood-hazard overlay is excluded from the developable-area calculation. The consolidated developable area across all three parcels is **20,149 m² (2.0149 ha)**, producing a net density of **23.8 lots/ha** — within the precinct's 10–25 lot/ha range. (The earlier 30-lot scheme over Torrens/River alone produced 27.77 lots/ha and was **not** supported at prelodgement; the three-parcel consolidation and redesign resolved both density and access.)

Site Overlays

Flood hazard. The northern central portion of the Torrens Road parcel is affected by the high and medium flood-hazard overlay, within which Council does not permit residential development; the layout is configured accordingly. The applicable Defined Flood Event level is 10.5m AHD and the Flood Planning Level 11.25m AHD (750mm freeboard); allotment fill is designed to at least the adopted FPL. A **site-specific Flood Assessment (Bravo Consult, Appendix F)** confirms, on 1% AEP modelling, no material worsening of flood behaviour on adjoining or downstream land (level changes within 0.02m, velocity within 0.3m/s), with flood planning levels nominated for habitable floors.

Pending flood-model risk. Council has advised (prelodgement items 28–30) that its **updated flood modelling is not yet reflected in the adopted Flood Planning Levels** and **may produce higher present-day flood levels**, and that the **northern portion has been re-defined from overland flow to medium/high flood hazard**. Council "strongly suggests" building to a higher level to avoid being "deemed flood affected at a future date." This is carried into the *Risk Analysis*.

Overland flow. An overland flow path traverses the central site. The northern flow falls within the area already excluded under the flood overlay; the southern flow is substantially contained within the existing drainage easement, minimising further impact on the developable footprint.

Other overlays identified at prelodgement include Acid Sulfate Soils (ASS report/management plan may be required for works below 5m AHD), Active Transport, Building Heights (max 12m), Road Hierarchy, Stormwater Catchments and Transport Noise Corridors (an acoustic assessment may be required given River Drive).

Risk Analysis

Rating methodology: Score = Likelihood (1–5) × Consequence (1–5). Low (1–6), Medium (7–12), High (13–25).

Risk	Category	L	C	Score	Rating
Inability to achieve forecast sale prices	Market	3	3	9	Medium
Performance-based planning departures (PO4 narrow lots; PO12/Figure 6 road link omitted)	Regulatory	3	3	9	Medium
Pending updated flood modelling raises FPL / re-maps hazard	Regulatory/ Technical	3	3	9	Medium
Extended holding period and/or interest-rate movement	Financial	4	3	12	Medium
Civil construction cost escalation	Construction	4	2	8	Medium
Reliance on related-party / builder-lender sales channel	Commercial	3	2	6	Low
Unforeseen development costs	Financial	3	2	6	Low
Dorset Drive settlement (31 Mar 2027) vs. construction start	Delivery	2	3	6	Low
Third-party litigation or objections	Legal	2	2	4	Low
Protracted Council assessment timeframe	Regulatory	2	2	4	Low

Key mitigations.

- *Sale prices.* Pricing prepared by the appointed sales agent (B.E Property) and stress-tested at –5% and –10%; product sits in the resilient affordable owner-occupier/investor segment.
- *Planning departures.* The application is Code Assessable (no public notification, lower objection risk). The Town Planning Report provides detailed performance-based justification for PO4 and PO12, relying on s1.7.4 of the scheme (examples are not exhaustive) and the supporting traffic advice (Option 3 preferred over the Figure 6 link). This is, however, a performance argument rather than acceptable-outcome compliance, and could attract an information request or condition; the 12-month DA allowance provides buffer.
- *Flood modelling.* The Bravo Consult flood report meets current adopted requirements; the residual risk is that newer (not-yet-adopted) modelling raises levels. Consider designing fill/FPL with margin to the latest modelling to protect future saleability.
- *Holding period / interest.* The schedule allows 12 months for DA; the 20%/15% facility makes early DA financially material. A six-month extension reduces ROI to 27.29% on the feasibility.
- *Construction cost.* In-house civil delivery gives direct cost control; +10% construction is absorbed at 28.95% ROI; severe combined downside retains 16.43% ROI.
- *Sales channel.* Borrower retains price-approval and a step-back right to convert exclusivity to non-exclusive at plan sealing if sales underperform.
- *Dorset settlement timing.* Confirm early-access/works arrangements so the access road is not gated by the 31 March 2027 settlement.

Overall profile: Low to Medium. Five risks are Medium (market pricing, planning departures, flood modelling, holding/interest, construction escalation); the remainder Low. No risks rated High. The feasibility sustains a positive return under a severe combined downside.

Market Context

Caboolture South sits within the Moreton Bay LGA, one of South East Queensland's designated high-growth regions, ~50 km north of Brisbane CBD and served by the Bruce Highway and Caboolture rail line. Demand fundamentals: sustained population growth and net migration into SEQ; constrained registered lot supply supporting price resilience; a designated growth precinct providing planning support at the proposed density; and affordability positioning broadening the purchaser pool.

Sponsor Profile — Pembroke Construction

Pembroke Construction is the project sponsor and will act as both developer and head civil contractor, with end-to-end capability across acquisition, development management, civil construction and delivery. Strengths: in-house civil construction (direct control of schedule, quality, cost); repeat subdivision delivery (current, benchmarked cost data); established consultant relationships; and proactive early Council engagement, including the strategic acquisition of the third parcel to resolve access.

Consultant team (DA package):

Discipline	Consultant
Town planning	Steffan Harries (Alex Steffan)
Civil, stormwater & flood	Bravo Consult (RPEQ Isaac Scott)
Traffic / structure planning	Modus (Bradley Fuller; Harj Singh RPEQ)
Landscape	Registered Landscape Architect (Appendix G)
Sales	B.E Property (with the builder-lender, per the Draft Loan Agreement)

Purchasing Entities

Property	Purchasing Entity
85 River Drive	Brightfall Pty Ltd ATF Brightfall Trust
181 Torrens Road	Purcell Asset Holdings ATF Purcell Asset Holdings Family Trust
3-7 Dorset Drive	Purcell Asset Holdings ATF Purcell Asset Holdings Family Trust

DA applicant: **Purcell Asset Holdings Pty Ltd ATF Purcell Asset Holdings Family Trust** (c/o Steffan Harries). The Draft Loan Agreement's borrowing entity is to be confirmed.

Closing Summary

This business case sets out the investment opportunity for a 48-lot residential subdivision across three adjoining, contracted parcels at Caboolture South. The project offers exposure to a planning-advanced infill site within an established Council growth precinct, supported by an experienced

sponsor with in-house civil capability and a full DA package finalised for lodgement. On the current feasibility, forecast metrics indicate a projected profit of \$5.51m and ROI of 31.81% over an ~24-month delivery, retaining 25.65% ROI under conservative pricing.

Before issue to investors, the sponsor should reconcile the headline feasibility against the now-known financing terms and House & Land Package sales structure, and note the performance-based planning arguments and pending flood-model risk described above. Pembroke Construction welcomes the opportunity to discuss this proposal further.

Appendices (Development Application package)

- **Town Planning Report** — Steffan Harries (Final, 3 June 2026)
- **Appendix A** — Prelodgement Advice Notes (DA/2026/0091, 28 Jan 2026)
- **Appendix B** — Subdivision Proposal Plan incl. Plan of Development
- **Appendix C** — Concept Civil Engineering Report (Bravo Consult, 1 June 2026)
- **Appendix D** — Civil Engineering Plans
- **Appendix E** — Site-Based Stormwater Management Plan (Bravo Consult)
- **Appendix F** — Flood Report incl. code response & model data files (Bravo Consult)
- **Appendix G** — Landscape Intent Plan
- **Appendix H** — Code Response
- **Appendix I** — Traffic Engineering Report / Structure Planning (Modus)
- **DA Form 1** — Development application details
- **Land Owners' Consent** — combined

A copy of the consolidated Feasibility Study is held separately and should accompany this business case when issued.